

2Q26 OP miss; now on reasonable level

Upgrade to Neutral and lower TP to KRW25,000

Upgrade to Neutral and lower TP to KRW25,000, implying 9.2% upside

We upgrade our rating to Neutral from Reduce owing to the recent steep decline in share price. We think that Samsung Heavy's (SHI) valuation is now on a reasonable level. The stock price has corrected 33.4% from its peak on 24 Apr (vs. KOSPI up +3.6%). SHI is trading at 2026F P/B of 3.7x. We have not raised our rating to Buy owing to the downside pressure on newbuilding prices from Chinese shipyard expansion. Upside risks are (1) blockage of Bab Al-Mandab Strait which could lead to massive new orders of tankers and (2) unexpected floating datacenter (FDC) new orders. Downside risk will be continued expansion of Chinese shipyards.

We lower our TP to KRW25,000 from KRW27,000. Our new TP is based on a 12-month-forward (12MF) BVPS of KRW7,456 (previously: 12MF BVPS of KRW6,738), multiplied by a target P/B of 3.35x (previously: 4.01x). Our target P/B implies a 4.3% premium to SHI's core-shipbuilding implied P/B of 3.21x (Fig. 11). We factor in the premium coming from the US naval opportunity, as SHI is now participating in MASGA (Make America Shipbuilding Great Again) through its partnerships with General Dynamics (GD US, Not rated) and Vigor (unlisted).

2Q26 OP miss owing to one-off cost

SHI recorded revenue of KRW3.2tn (+20.4% y-y) and operating profit (OP) of KRW325bn (+58.7% y-y) in 2Q26 (Fig. 2). OP was below the Quantwise consensus estimate of KRW374bn by 13.2%. KRW25bn of one-off cost occurred from additional booking of retirement pension. KRW150bn of additional revenue was booked from global operations and the re-activated No. 2 dock. Management expects KRW900bn of revenue addition in 2026E. However, in our estimate, the operating margin from the new capacity was below the SHI's average shipbuilding margin. In 2Q26, shipbuilding revenue increased to KRW2.4tn (+14.3% y-y) thanks to new order and capacity addition. We estimate 2Q26F offshore revenue increased to KRW723bn (+49.7% y-y), following the revenue ramp-up of F-LNG projects.

(Continued on page 4)

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	10,650	13,019	13,016	15,571	16,036	16,486	17,077
Reported net profit (bn)	546	1,243	1,088	1,628	1,820	1,924	2,189
Normalised net profit (bn)	546	1,243	1,088	1,628	1,820	1,924	2,189
FD normalised EPS	620	1,412	1,236	1,849	2,068	2,187	2,488
FD norm. EPS growth (%)	753.9	127.8	99.3	31.0	67.4	18.2	20.3
FD normalised P/E (x)	36.9	–	18.5	–	11.1	–	9.2
EV/EBITDA (x)	18.6	–	10.8	–	6.0	–	4.8
Price/book (x)	4.9	–	3.7	–	2.8	–	2.2
Dividend yield (%)	0.0	–	–	–	–	–	2.2
ROE (%)	13.7	26.1	22.5	26.2	28.4	24.7	26.7
Net debt/equity (%)	30.7	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating
Up from Reduce **Neutral**

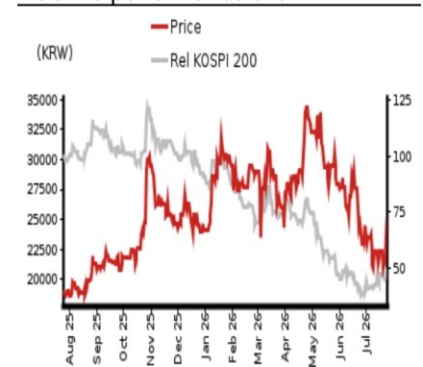
Target price
Reduced from
KRW 27,000 **KRW 25,000**

Closing price
24 July 2026 **KRW 22,900**

Implied upside **+9.2%**

Market Cap (USD mn) 13,738.7
ADT (USD mn) 106.3

Relative performance chart



Source: LSEG, Nomura

Research Analysts

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Key data on Samsung Heavy Industries

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-6.9	-33.4	17.7	M cap (USDmn)	13,738.7
Absolute (USD)	-1.9	-32.6	9.9	Free float (%)	76.2
Rel to KOSPI 200	16.0	-42.0	-127.7	3-mth ADT (USDmn)	106.3

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	9,903	10,650	13,016	16,036	17,077
Cost of goods sold	-8,983	-9,276	-11,116	-13,355	-14,006
Gross profit	921	1,374	1,900	2,680	3,071
SG&A	-418	-512	-534	-550	-567
Employee share expense					
Operating profit	503	862	1,365	2,130	2,504
EBITDA	795	1,151	1,777	2,809	3,128
Depreciation	-289	-284	-406	-673	-618
Amortisation	-4	-5	-6	-6	-5
EBIT	503	862	1,365	2,130	2,504
Net interest expense	-192	-115	13	80	166
Associates & JCEs	0	0	0	0	0
Other income	-626	-96	-161	0	0
Earnings before tax	-315	650	1,217	2,210	2,670
Income tax	369	-115	-138	-398	-481
Net profit after tax	54	536	1,079	1,812	2,189
Minority interests	10	10	9	9	
Other items					
Preferred dividends					
Normalised NPAT	64	546	1,088	1,820	2,189
Extraordinary items					
Reported NPAT	64	546	1,088	1,820	2,189
Dividends	0	-1	0	0	-440
Transfer to reserves	64	544	1,088	1,820	1,749

Valuations and ratios

Reported P/E (x)	315.5	36.9	18.5	11.1	9.2
Normalised P/E (x)	315.5	36.9	18.5	11.1	9.2
FD normalised P/E (x)	315.5	36.9	18.5	11.1	9.2
Dividend yield (%)	-	0.0	-	-	2.2
Price/cashflow (x)	30.8	12.9	7.5	8.3	7.5
Price/book (x)	5.3	4.9	3.7	2.8	2.2
EV/EBITDA (x)	28.1	18.6	10.8	6.0	4.8
EV/EBIT (x)	44.5	24.8	14.0	7.9	6.0
Gross margin (%)	9.3	12.9	14.6	16.7	18.0
EBITDA margin (%)	8.0	10.8	13.7	17.5	18.3
EBIT margin (%)	5.1	8.1	10.5	13.3	14.7
Net margin (%)	0.6	5.1	8.4	11.4	12.8
Effective tax rate (%)	-	17.6	11.4	18.0	18.0
Dividend payout (%)	0.0	0.2	0.0	0.0	20.1
ROE (%)	1.8	13.7	22.5	28.4	26.7
ROA (pretax %)	3.2	5.7	8.9	12.7	14.7

Growth (%)

Revenue	23.6	7.5	22.2	23.2	6.5
EBITDA	66.8	44.7	54.4	58.0	11.4
Normalised EPS		753.9	99.3	67.4	20.3
Normalised FDEPS		753.9	99.3	67.4	20.3

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	795	1,151	1,777	2,809	3,128
Change in working capital	891	786	999	-66	-118
Other operating cashflow	-1,032	-374	-93	-324	-320
Cashflow from operations	655	1,563	2,683	2,418	2,690
Capital expenditure	210	-195	-241	-265	-291
Free cashflow	865	1,368	2,443	2,153	2,398
Reduction in investments	101	-263	-295	0	0
Net acquisitions					
Dec in other LT assets	-1	-23	86	86	26
Inc in other LT liabilities					
Adjustments					
CF after investing acts	965	1,082	2,233	2,240	2,424
Cash dividends	0	-1	0	0	-440
Equity issue	-111	0	0	0	0
Debt issue	-339	-1,170	-1,363	-766	0
Convertible debt issue					
Others	-143	-95	41	0	0
CF from financial acts	-593	-1,266	-1,322	-766	-440
Net cashflow	372	-183	911	1,473	1,984
Beginning cash	584	956	773	1,684	3,157
Ending cash	956	773	1,684	3,157	5,141
Ending net debt	2,262	1,275	-917	-3,157	-5,141

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	956	773	1,684	3,157	5,141
Marketable securities	48	312	608	608	608
Accounts receivable	1,186	1,422	1,136	1,576	1,678
Inventories	452	490	734	791	808
Other current assets	6,728	4,411	5,701	6,142	6,274
Total current assets	9,370	7,407	9,863	12,273	14,510
LT investments	1,680	1,532	2,376	2,376	2,376
Fixed assets	5,116	5,107	4,984	4,581	4,258
Goodwill	0	0	0	0	0
Other intangible assets	28	32	32	28	24
Other LT assets	1,001	871	844	909	929
Total assets	17,195	14,949	18,099	20,167	22,097
Short-term debt	3,081	1,732	766	0	0
Accounts payable	946	1,023	1,286	1,488	1,421
Other current liabilities	8,002	6,668	8,651	9,321	9,522
Total current liabilities	12,029	9,422	10,703	10,808	10,943
Long-term debt	137	316	0	0	0
Convertible debt					
Other LT liabilities	1,279	1,116	1,961	2,113	2,158
Total liabilities	13,445	10,854	12,664	12,921	13,101
Minority interest	-45	-54	-65	-74	-83
Preferred stock	0	0	0	0	0
Common stock	880	880	880	880	880
Retained earnings	-2,136	-1,603	-515	1,305	3,063
Proposed dividends					
Other equity and reserves	5,051	4,872	5,135	5,135	5,135
Total shareholders' equity	3,795	4,149	5,500	7,320	9,078
Total equity & liabilities	17,195	14,949	18,099	20,167	22,097

Liquidity (x)

Current ratio	0.78	0.79	0.92	1.14	1.33
Interest cover	2.6	7.5	-	-	-

Leverage

Net debt/EBITDA (x)	2.84	1.11	net cash	net cash	net cash
Net debt/equity (%)	59.6	30.7	net cash	net cash	net cash

Per share

Reported EPS (KRW)	73	620	1,236	2,068	2,488
Norm EPS (KRW)	73	620	1,236	2,068	2,488
FD norm EPS (KRW)	73	620	1,236	2,068	2,488
BVPS (KRW)	4,311	4,714	6,249	8,317	10,315
DPS (KRW)	0	1	0	0	500

Activity (days)

Days receivable	31.9	44.7	35.9	30.9	34.9
Days inventory	44.3	18.5	20.1	20.8	20.9
Days payable	42.5	38.7	37.9	37.9	38.0
Cash cycle	33.7	24.5	18.1	13.8	17.7

Source: Company data, Nomura estimates

Company profile

Samsung Heavy Industries is Korea shipbuilding and offshore EPC company. The company was founded in 1974 as a part of governments supporting plan for heavy industries by Samsung group.

Valuation Methodology

Our TP of 25,000 is based on a 12-month-forward (12MF) BVPS of KRW7,456 (previously: 12MF BVPS of KRW6,738), multiplied by a target P/B of 3.35x (previously: 4.01x). Our target P/B implies a 4.3% premium to SHI's implied P/B of 3.21x. We factor in the premium coming from the US naval opportunity, as SHI is now participating in MASGA (Make America Shipbuilding Great Again) project.

Risks that may impede the achievement of the target price

Upside risks are (1) blockage of Bab Al-Mandab Strait which could lead to massive new orders of tankers and (2) unexpected FDC new orders. Downside risk will be continued expansion of Chinese shipyard.

ESG

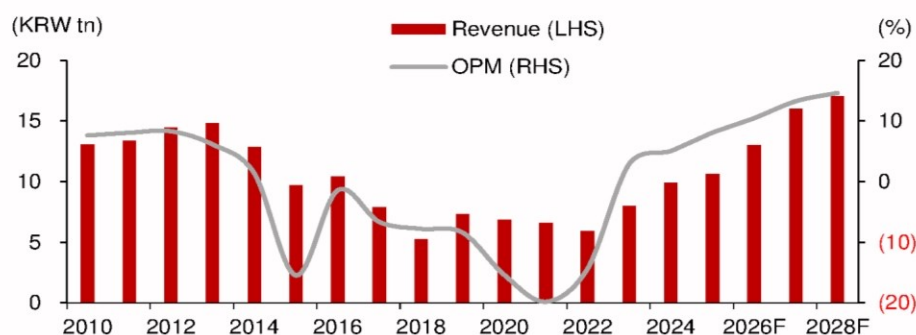
- Environment: Following IS14001/50001 to reduce CO2 emissions of the factory; Developing eco-friendly vessels to reduce CO2 emissions - Society: Caring about employee safety to prevent employee fatal accidents - Governance: Controlled by Samsung Electronics

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2026F new order +115.7%, OP +58.4% y-y

We forecast SHI to record new orders of USD17.0bn (+115.7% y-y) in 2026F. We expect the increase in new orders to be driven by F-LNG. SHI booked USD9.6bn of new orders in 1H26, achieving 72% of its guidance. We forecast 2026F offshore new orders to increase to USD8bn (+900.0% y-y). Coral South II (value: USD1.3bn) and Delfin (USD2.9bn) have been already received. Management targets Delfin II (USD2.5bn) and Western (USD2.5bn) in 4Q26F. Commercial vessel new orders are likely to increase to USD9.0bn (+27.3% y-y) in 2026F, on our estimates. We expect LNG vessel new orders to increase to USD6.5bn (+131.0% y-y, 25 units).

We expect SHI to record revenue of KRW13.0tn (+22.2% y-y) and OP of KRW1.4tn (+58.4% y-y) in 2026F (Fig. 5). We estimate shipbuilding revenue to increase to KRW10.1tn (+24.4% y-y) in 2026F, driven by a rise in new orders and newbuilding price. We also expect offshore revenue to increase to KRW2.5tn (+17.1% y-y) following the F-LNG construction increase.

Fig. 1: SHI — Earnings trend

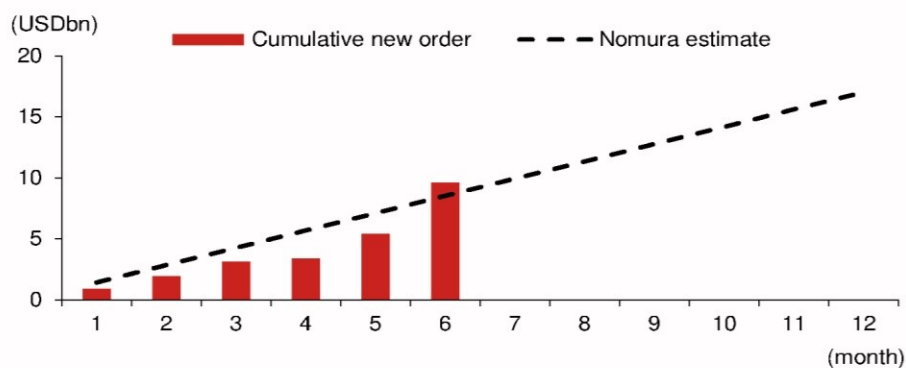
Source: Company data, Nomura estimates

Fig. 2: SHI — 2Q26 results vs Nomura estimates

(KRW bn, %)	2Q26P						
	Actual	Nomura est.	Cons.(E)	1Q26	q-q (%)	2Q25	y-y (%)
Revenue (KRW bn)	3,231	3,217	3,277	2,902	11.3	2,683	20.4
Shipbuilding+Offshore	3,146	3,132	-	2,747	14.5	2,603	20.9
Shipbuilding	2,423	2,439	-	2,177	11.3	2,120	14.3
Offshore	723	694	-	571	26.8	483	49.7
Construction	84	84	-	155	(45.5)	80	5.0
OP	325	356	374	273	19.0	205	58.7
PBT	300	352	344	130	131.5	215	39.8
NP	225	347	256	102	121.6	214	5.1
% of sales (%)							
OP	10.1	11.1	11.4	9.4	-	7.6	-
PBT	9.3	10.9	10.5	4.5	-	8.0	-
NP	7.0	10.8	7.8	3.5	-	8.0	-

Source: Company data, Quantiwise, Nomura estimates

Fig. 3: SHI — 2026 actual new orders vs Nomura estimates



Source: Company data, Nomura estimates

Fig. 4: SHI — Business segment-wise breakdown and P&L summary

		1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26F	4Q26F	2024	2025	2026F	2027F	2028F
Revenue	Total	2,494	2,683	2,635	2,838	2,902	3,231	3,226	3,657	9,903	10,650	13,016	16,036	17,077
(KRW bn)	Shipbuilding+Offshore	2,355	2,603	2,553	2,694	2,747	3,146	3,140	3,505	9,122	10,205	12,539	15,536	16,552
	Shipbuilding	1,871	2,120	1,976	2,128	2,177	2,423	2,441	3,027	8,022	8,095	10,069	12,164	11,705
	Offshore	484	483	577	565	571	723	699	478	1,101	2,110	2,471	3,372	4,847
	Construction	139	80	81	144	155	84	85	152	781	445	476	500	525
OP (KRW bn)	Total	123	205	238	296	273	325	348	420	503	862	1,365	2,130	2,504
PBT	Total	91	215	141	204	130	300	355	432	(315)	650	1,217	2,210	2,670
NP	Total	92	214	142	97	102	225	344	417	64	546	1,088	1,820	2,198
Rev GR (%)	y-y	6.2	6.0	13.4	5.1	16.4	20.4	22.4	28.9	23.6	7.5	22.2	23.2	6.5
	q-q	(7.6)	7.6	(1.8)	7.7	2.3	11.3	(0.1)	13.4	-	-	-	-	-
OP GR (%)	y-y	58.1	56.7	98.6	70.0	121.9	58.7	46.0	41.7	115.4	71.5	58.4	56.0	17.6
	q-q	(29.4)	66.4	16.2	24.4	(7.8)	19.0	6.9	20.8	-	-	-	-	-
OPM (%)		4.9	7.6	9.0	10.4	9.4	10.1	10.8	11.5	5.1	8.1	10.5	13.3	14.7
PBTM (%)		3.6	8.0	5.4	7.2	4.5	9.3	11.0	11.8	(3.2)	6.1	9.4	13.8	15.6
NPM (%)		3.7	8.0	5.4	3.4	3.5	7.0	10.7	11.4	0.6	5.1	8.4	11.4	12.9

Source: Company data, Nomura estimates

Fig. 5: SHI — Annual earnings forecast revisions

(KRW bn, won, %)	New			Old			Change (%)			Consensus		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F	2026E	2027E	2028E
Backlog (USD bn)	40	40	37	39	39	37	1.8	2.0	0.9			
Shipbuilding	28	27	24	27	26	24	2.6	3.0	1.4			
Rigs	0	0	0	0	0	0	-	-	-			
Productions	12	12	13	12	12	13	0	0	0			
New order (USD bn)	17	12	9	16	11	9	4.3	0.9	1.1			
Shipbuilding	9	9	6	8	9	6	8.4	1.2	1.7			
Rigs	0	0	0	0	0	0	-	-	-			
Productions	8	3	3	8	3	3	0	0	0			
Revenue (KRW bn)	13,016	16,036	17,077	13,019	15,571	16,486	(0.0)	3.0	3.6	12,848	14,688	15,978
Shipbuilding	10,069	12,164	11,705	9,835	11,801	11,258	2.4	3.1	4.0			
Offshore	2,471	3,372	4,847	2,821	3,279	4,713	(12.4)	2.8	2.8			
Construction	476	500	525	467	491	515	1.9	1.9	1.9			
OP	1,365	2,130	2,504	1,400	2,063	2,424	(2.5)	3.3	3.3	1,465	2,022	2,369
PBT	1,217	2,210	2,670	1,259	2,131	2,532	(3.3)	3.7	5.4	1,297	1,933	2,316
NP	1,088	1,820	2,198	1,243	1,628	1,933	(12.5)	11.8	13.7	1,008	1,492	1,788
EPS (KRW)	1,236	2,069	2,498	1,412	1,850	2,196	(12.5)	11.8	13.7	1,145	1,695	2,032
OPM (%)	10.5	13.3	14.7	10.8	13.2	14.7	-	-	-	11.4	13.8	14.8
PBTM	9.4	13.8	15.6	9.7	13.7	15.4	-	-	-	10.1	13.2	14.5
NPM	8.4	11.4	12.9	9.5	10.5	11.7	-	-	-	7.8	10.2	11.2

Source: Company data, Quantiwise, Nomura estimates

Fig. 6: SHI — Backlog, new orders, and revenue by business division

	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F
Backlog (USD bn)	27	21	19	23	22	25	30	33	31	29	40	40	37
y-y (%)	(24.6)	(22.1)	(7.7)	19.8	(3.5)	14.0	16.6	12.5	(5.4)	(8.9)	38.6	(0.1)	(5.9)
Shipbuilding	8	7	10	14	15	21	27	28	28	25	28	27	24
LNG carrier	3	3	5	8	10	12	18	18	19	15	17	17	16
Containership	2	1	2	3	1	6	6	8	5	5	5	4	3
Tanker	2	3	3	3	3	4	3	2	3	3	4	4	3
Rigs	6	4	4	3	3	3	2	2	0	0	0	0	0
Productions	13	10	5	7	5	1	0	3	3	4	12	12	13
New order (USD bn)	1	7	6	7	6	12	9	8	7	8	17	12	9
y-y (%)	(95.0)	1,280.0	(8.7)	12.7	(22.5)	121.8	(23.0)	(11.7)	(12.0)	8.2	115.7	(32.3)	(22.9)
Shipbuilding	1	3	6	6	6	12	9	5	7	7.1	9.0	9	6
LNG carrier	0	1	3	4	4	4	8	2	5	3	6	6	5
Containership	0	1	2	1	0	6	1	3	1	2	0	1	1
Tanker	0	2	1	1	1	2	0	0	1	2	1	1	0
Rigs	0	0	0	0	0	0	0	0	0	0	0	0	0
Productions	0	4	0	1	0	0	0	3	0	1	8	3	3
Revenue (KRW bn)	10,414	7,901	5,265	7,350	6,860	6,622	5,945	8,009	9,903	10,650	13,016	16,036	17,077
Shipbuilding	6,206	-	2,749	4,396	5,089	4,870	4,875	6,958	8,022	8,095	10,069	12,164	11,705
Offshore	4,137	-	2,475	2,930	1,755	1,734	592	287	1,101	2,110	2,471	3,372	4,847
Construction	71	63	41	24	17	18	478	764	781	445	476	500	525

Source: Company data, Nomura estimates

Fig. 7: SHI — Ordered prices of backlog

	N.B price	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F
1Q22	156.2	0	1	3	1	2	4	2	1	0	0	0	0	0	0	0	0
2Q22	161.5	0	0	1	4	0	2	2	3	3	3	1	0	0	0	0	0
3Q22	161.9	0	0	0	0	2	0	2	0	0	0	0	0	0	0	0	0
4Q22	161.8	0	0	0	0	0	2	1	0	4	0	0	0	2	1	2	1
1Q23	165.5	0	0	0	0	0	0	0	0	0	0	1	2	1	0	0	0
2Q23	170.9	0	0	0	0	0	0	0	0	0	2	0	0	0	0	0	1
3Q23	175.4	0	0	0	0	0	0	0	2	1	2	1	2	1	1	3	3
4Q23	178.4	0	0	0	0	0	0	0	0	0	0	1	1	1	0	0	0
1Q24	183.2	0	0	0	0	0	0	0	0	0	0	2	2	1	3	0	5
2Q24	187.2	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
3Q24	190.0	0	0	0	0	0	0	0	0	0	0	0	0	1	1	0	0
4Q24	189.2	0	0	0	0	0	0	0	0	0	0	0	0	1	3	3	5
1Q25	187.4	0	0	0	0	0	0	0	0	0	0	0	0	0	1	1	2
2Q25	187.1	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1
3Q25	185.6	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	1
4Q25	184.7	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Sum (units)		11	9	14	13	10	10	11	6	8	7	7	7	9	11	9	19
Ordered price (USD mn)	138.1	142.7	148.8	145.2	148.8	155.5	149.3	165.2	163.4	168.2	168.3	175.2	170.7	178.4	178.3	182.5	182.5
OPM (%)	3.3	5.2	5.2	6.5	4.9	7.6	9.0	10.4	9.4	10.1	10.8	11.5	11.9	13.6	13.5	13.9	13.9
HO Ordered price	132.3	133.5	144.8	151.0	152.8	149.5	149.5	151.8	158.9	167.3	168.7	172.9	180.1	182.9	185.4	186.0	186.0
HO OPM (%)	0.9	(2.1)	1.7	4.7	9.1	13.4	10.9	11.4	12.4	14.5	14.6	15.7	16.5	17.4	17.7	18.1	18.1

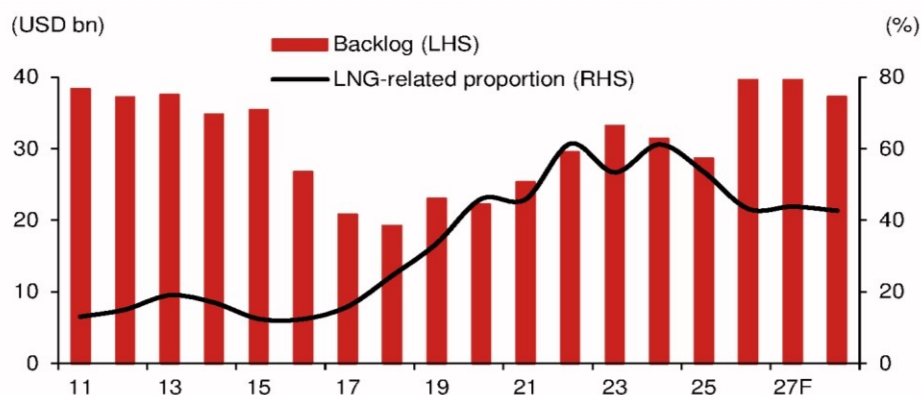
Source: Company data, Clarksons, Nomura estimates

Fig. 8: SHI – Offshore production division's earnings trend

	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26P	3Q26F	4Q26F
Offshore revenue based on current backlog (KRW bn)	169	180	359	392	484	483	577	565	571	723	699	478
y-y (%)	72.5	706.6	905.3	199.4	186.0	168.8	60.6	44.0	17.8	49.7	21.1	(15.4)
Main project rev. (USD mn)	55	88	151	316	371	424	481	287	138	278	281	281
Etc (USD mn)	73	43	113	(35)	(38)	(80)	(64)	102	251	203	201	48
Petronas Gas Z FLNG (USD mn)	50	88	151	214	126	101	76	63	25	50	25	25
Cedar LNG (USD mn)	0	0	0	0	42	42	84	155	183	141	169	169
Coral II (USDmn)	0	0	0	102	203	281	321	70	(70)	87	87	87

Source: Company data, Nomura estimates

Fig. 9: SHI — Total backlog and proportion of total backlog related to energy



Source: Company data, Nomura estimates

Fig. 10: FLNG project status

Status	Project	Developer	EPC	Contract date (yyyy)	Completion date (yyyy)	Capacity (Mtpa)	Required vessel (units)
Completed	Prelude	Shell	SHI, Technip	2011	2018	3.6	1
	PFLNG 1	Petronas	DSME, Technip	2012	2016	1.2	
	PFLNG 2	Petronas	SHI, JGC	2015	2020	1.5	3
	Coral South (Coral I)	ENI	SHI, Technip, JGC	2017	2022	3.4	4
U/C	Cedar	Cedar LNG	SHI, Black & Veatch	2023	2028	3.3	4
	ZFLNG	Petronas	SHI, JGC	1Q23	2027	2.5	3
	Port Delfin 1	Delfin LNG	SHI	1H26	2029	4.4	9
	Coral North (Coral II)	ENI	SHI	1H26	2028	3.6	4
FEED	Ksi Lisims LNG	Western LNG	SHI FEED	2H26F	2029	12.0	12
Proposed	Port Delfin 2	Delfin LNG	SHI bidding	2H26F	2032	4.4	9
	Argentina LNG Phase 2	YPF	SHI bidding	2027F	2032	6.0	12
	Golar Mark III	Golar	SHI bidding	-	-	5.0	-

Source: Clarksons, company data, Nomura estimates

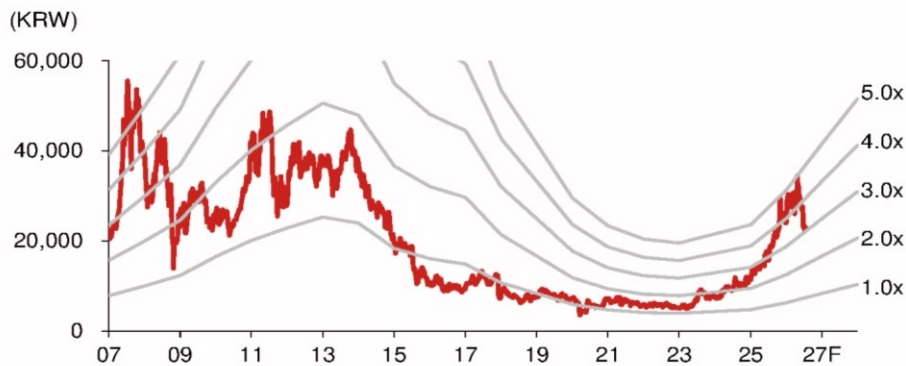
Fig. 11: SHI P/B valuation — TP: KRW25,000

(KRW, x, %)	Valuation		Description
	New	Old	
Target price (KRW)	25,000	27,000	
Stock price	22,900	22,900	
Upside (%)	9.2	17.9	
Target P/B (x)	3.35	4.01	- Justified P/B + Premium for potential naval opportunity upsides
BVPS (KRW)	7,456	6,738	- 12MF BVPS
(A+B) Target market cap (KRWbn)	22,507	23,581	
(A) Fundamental mkt. cap	20,864	21,938	
12MF BV (KRWbn)	6,491	5,865	
Implied P/B (x)	3.21	3.74	- 2029F ROE-based theoretically justified P/B (assumed 5% growth rate)
2029F ROE (%)	24.1	24.8	- Changed from 2028F->2029F
Growth rate assumption (%)	5.0	8.0	- 3.4% p.a ton-mile growth + 1.6% inflation
COE (%)	11.0	12.5	- 3.9% risk-free rate; 0.65 beta; 14.7% market return (KOSPI 10-year average)
(B) US Naval (option B) (KRWbn)	1,643	1,643	
Number of shares (mn)	888	888	

Note: Current share price as of 24 July 2026

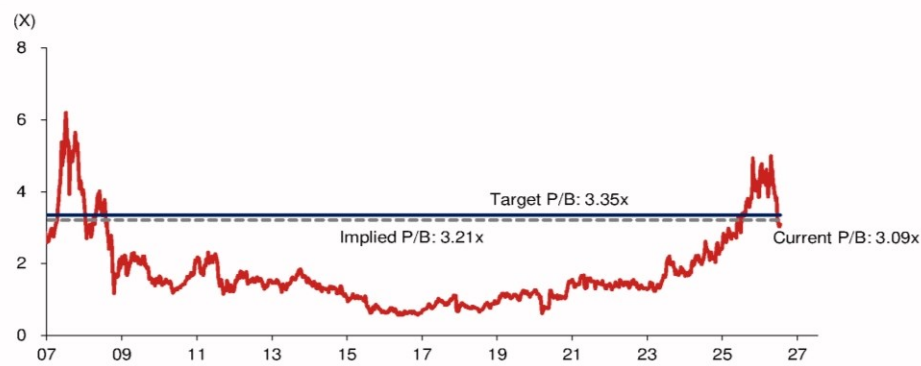
Source: Company data, Nomura estimates

Fig. 12: SHI — 12-month-forward P/B band



Source: Company data, Quantiwise, Nomura estimates

Fig. 13: SHI — 12-month-forward P/B



Source: Company data, Quantiwise, Nomura estimates

Fig. 14: SHI — Valuation trend

(KRW, x, %)	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F
Target Price (KRW)	-	-	-	-	-	-	-	-	-	-	-	25,000	25,000	25,000
Target P/B, (x)	-	-	-	-	-	-	-	-	-	-	-	4.00	3.01	2.42
Stock Price	10,850	9,250	7,330	7,410	7,270	7,040	5,670	5,110	7,750	11,300	24,100	22,900	22,900	22,900
Upside(%)	-	-	-	-	-	-	-	-	-	-	-	9.2	9.2	9.2
P/B (End), (x)	0.59	0.58	0.49	0.69	0.87	1.19	1.21	1.25	1.98	2.62	5.11	3.66	2.75	2.22
P/B (High)	1.15	0.82	0.93	0.93	1.14	1.34	1.71	1.58	2.42	2.85	6.89	5.66	4.25	3.43
P/B (Low)	0.54	0.52	0.47	0.55	0.77	0.52	1.09	1.22	1.23	1.62	2.37	2.88	2.16	1.75
P/B (Avg)	0.85	0.56	0.75	0.70	0.94	0.96	1.32	1.37	1.74	2.22	3.92	4.11	3.09	2.49
P/E (End)	(2.1)	(29.8)	(8.4)	(12.0)	(3.5)	(3.0)	(3.5)	(7.3)	(46.0)	155.7	38.9	18.5	11.1	9.2
BVPS (KRW)	18,344	16,058	14,841	10,694	8,324	5,910	4,671	4,084	3,908	4,311	4,714	6,249	8,317	10,315
y-y (%)	-	(12.5)	(7.6)	(27.9)	(22.2)	(29.0)	(21.0)	(12.6)	(4.3)	10.3	9.3	32.6	33.1	24.0
ROE (%)	(24.7)	(2.3)	(5.6)	(6.2)	(21.9)	(33.1)	(36.9)	(16.1)	(4.2)	1.8	13.7	22.5	28.4	26.8
EPS (KRW)	(5,218)	(311)	(868)	(616)	(2,080)	(2,353)	(1,642)	(704)	(168)	73	620	1,236	2,068	2,497

Source: Company data, Nomura estimates

Fig. 15: Global shipbuilding company valuations

Country	Company	Ticker	Rating	Market Cap (KRW tn)	Stock price (Local)	1M (%)	YTD	PER (x) 25F 26F	PBR (x) 25F 26F	EV/EBITDA (x) 25F 26F	ROE (%) 25F 26F	EPS growth (%) 25F 26F
Korea	SHI	010140 KS	Reduce	20.3	22,900	(6.1)	(5.0)	18.5 11.1	3.7 2.8	10.8 6.0	22.5 28.4	99.3 67.4
	Hanwha Ocean	042660 KS	Reduce	27.0	87,900	(17.1)	(22.3)	21.6 19.9	4.4 3.6	14.8 10.2	19.8 22.0	8.8 37.3
	Average							20.1 15.5	4.0 3.2	12.8 8.1	21.1 25.2	54.1 52.3
China	CSSC holdings	600150 CH	Not-rated	53.7	33	(6.5)	(0.6)	12.9 9.7	1.5 1.4	5.6 4.4	12.6 14.8	83.0 33.5
	Yangzijiang	YZJSGD SP	Not-rated	17.8	4	13.0	14.7	8.5 7.4	2.2 1.9	6.3 5.4	28.1 27.4	13.8 14.8
	Average							10.7 8.5	1.9 1.6	5.9 4.9	20.3 21.1	48.4 24.1
Singapore	Keppel	KEP SP	Not-rated	23.3	11	1.9	11.4	20.6 18.4	1.9 1.9	19.9 18.8	9.5 10.3	24.3 11.7
	Sembcorp	STM SP	Not-rated	8.2	2	7.6	(1.4)	15.0 12.8	1.0 0.9	8.2 7.8	6.9 7.4	55.0 16.9
	Average							17.8 15.6	1.5 1.4	14.0 13.3	8.2 8.8	39.6 14.3
Average								15.4 13.0	2.4 2.1	10.3 8.4	16.3 18.0	35.0 24.8

Note: Nomura estimates for rated companies; Bloomberg consensus estimates for not rated companies; pricing as of 24 July 2026

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Appendix A-1

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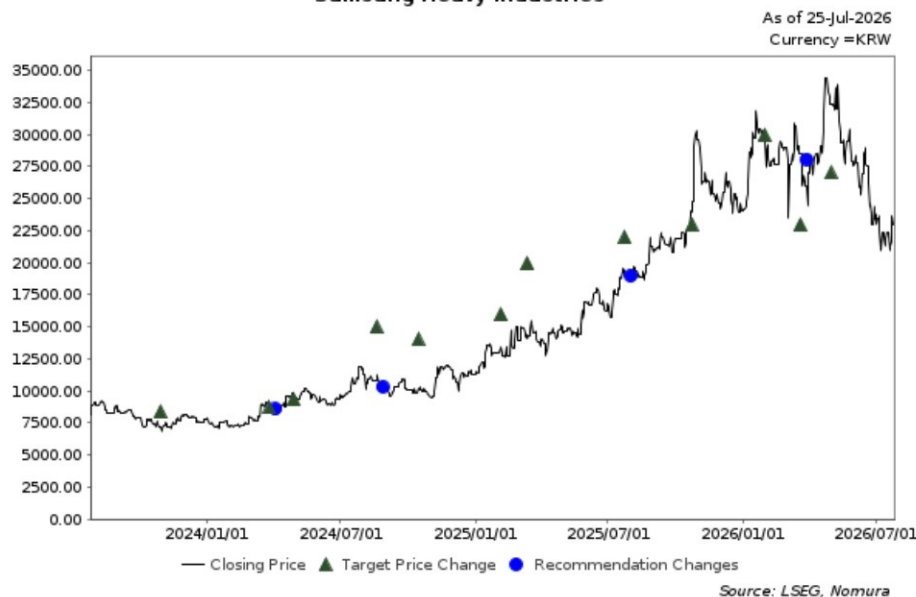
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Samsung Heavy Industries	010140 KS	KRW 22,900	24-Jul-2026	Neutral	N/A	

Samsung Heavy Industries (010140 KS)

KRW 22,900 (24-Jul-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Samsung Heavy Industries



Date	Rating	Target price	Closing price
01-May-26		27,000.00	32,350.00
20-Mar-26	Reduce		28,550.00
20-Mar-26		23,000.00	28,550.00
30-Jan-26		30,000.00	29,450.00
23-Oct-25		23,000.00	23,900.00
24-Jul-25	Neutral		19,450.00
24-Jul-25		22,000.00	19,450.00
13-Mar-25		20,000.00	14,080.00
05-Feb-25		16,000.00	13,400.00
15-Oct-24		14,000.00	10,230.00
19-Aug-24	Buy		10,800.00
19-Aug-24		15,000.00	10,800.00
28-Apr-24		9,400.00	9,850.00
26-Mar-24	Neutral		9,060.00
26-Mar-24		8,700.00	9,060.00
29-Oct-23		8,400.00	7,190.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of 25,000 is based on a 12-month-forward (12MF) BVPS of KRW7,456 (previously: 12MF BVPS of KRW6,738), multiplied by a target P/B of 3.35x (previously: 4.01x). Our target P/B implies a 4.3% premium to SHI's implied P/B of 3.21x. We factor in the premium coming from the US naval opportunity, as SHI is now participating in MASGA (Make America Shipbuilding Great Again) project.

Risks that may impede the achievement of the target price Upside risks are (1) blockage of Bab Al-Mandab Strait which could lead to massive new orders of tankers and (2) unexpected FDC new orders. Downside risk will be continued expansion of Chinese shipyard.

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As at 30 June 2026.

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